

## THK (6481.T)

Raising GSe, but cutting TP on lower sector multiple and premium; looking toward a peak-out in order momentum; Neutral

6481.T

12m Price Target: ¥6,500

Price: ¥6,072

Upside: 7.0%

We have revised our estimates based on the various monthly and statistical data published as of September 15, including the latest machine tool orders. Reflecting strong order trends (record high or near record high) and the results of our channel checks on selling price trends, we raise our FY12/26E-FY12/28E estimates by just over 50% on average to reflect the far greater-than-expected order trends. For valuation, however, in light of (1) the historical correlation between the stock market and the machinery sector (decline in multiples), and (2) the peak-out in order momentum (yoy), we now use normalized earnings and normalized multiple premium as our valuation basis (vs. an average EV/EBITDA premium post its restructuring announcement previously). With this, we lower our normalized FY12/28E EV/EBITDA multiple from 10X to 9X, and revise the sector-relative premium from +40% to ±0% (the historical median plus 1 standard deviation). As a result, our 12-month target price moves to ¥6,500 from ¥7,500 previously. While earnings are strong and ROE is high compared with past levels, the stock's relatively high sensitivity to order momentum is likely to weigh valuation from here. With 10% implied upside vs. +47% for our coverage, we maintain our Neutral rating relative to coverage.

## ■ NEUTRAL

Yuichiro Isayama

+81(3)4587-9806 | yuichiro.isayama@gs.com  
Goldman Sachs Japan Co., Ltd.

Takato Enoki

+81(3)4587-1739 | takato.enoki@gs.com  
Goldman Sachs Japan Co., Ltd.

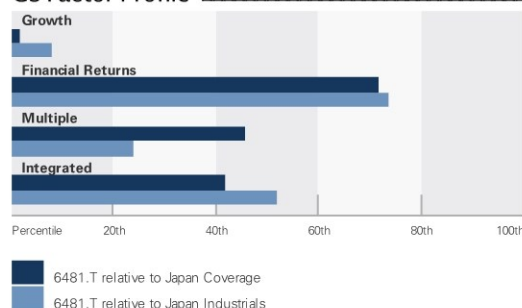
## Key Data

Market cap: ¥737.8bn / \$4.8bn  
Enterprise value: ¥787.7bn / \$5.1bn  
3m ADTV: ¥7.7bn / \$47.9mn  
Japan  
Japan Industrials  
M&A Rank: 3  
Leases incl. in net debt & EV?: No

## GS Forecast

|                              | 12/25          | 12/26E       | 12/27E       | 12/28E        |
|------------------------------|----------------|--------------|--------------|---------------|
| Revenue (¥ bn)               | 240.4          | 333.0        | 394.0        | 361.0         |
| <b>Op. profit (¥ bn) New</b> | <b>14.4</b>    | <b>57.0</b>  | <b>75.0</b>  | <b>59.0</b>   |
| Op. profit (¥ bn) Old        | 14.4           | 37.0         | 39.0         | 35.0          |
| Op. profit CoE (¥ bn)        | 16.0           | 31.0         | —            | —             |
| <b>EPS (¥) New</b>           | <b>(623.9)</b> | <b>523.1</b> | <b>501.7</b> | <b>422.9</b>  |
| EPS (¥) Old                  | (623.9)        | 380.3        | 260.7        | 233.9         |
| P/E (X)                      | NM             | 11.6         | 12.1         | 14.4          |
| P/B (X)                      | 1.7            | 2.4          | 2.1          | 2.0           |
| CROCI (%)                    | 6.4            | 14.3         | 12.8         | 10.3          |
|                              | <b>3/26</b>    | <b>6/26</b>  | <b>9/26E</b> | <b>12/26E</b> |
| EPS (¥)                      | 40.1           | 122.8        | 102.7        | 180.3         |

## GS Factor Profile



Source: Company data, Goldman Sachs Research estimates.  
See disclosures for details.

Goldman Sachs does and seeks to do business with companies covered in its research reports. As a result, investors should be aware that the firm may have a conflict of interest that could affect the objectivity of this report. Investors should consider this report as only a single factor in making their investment decision. For Reg AC certification and other important disclosures, see the Disclosure Appendix, or go to [www.gs.com/research/hedge.html](http://www.gs.com/research/hedge.html). Analysts employed by non-US affiliates are not registered/qualified as research analysts with FINRA in the U.S.

# THK (6481.T)

Rating since May 28, 2026

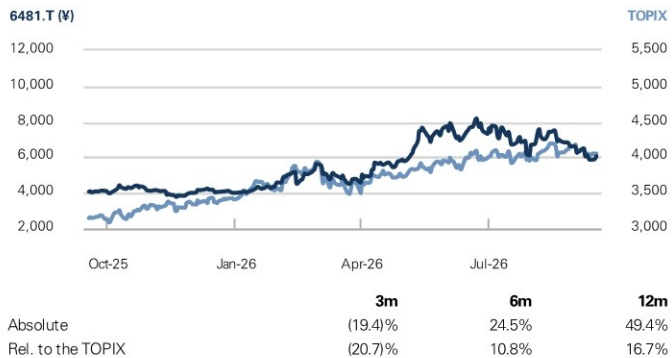
## Ratios & Valuation

|                                    | 12/25   | 12/26E  | 12/27E  | 12/28E  |
|------------------------------------|---------|---------|---------|---------|
| P/E (X)                            | NM      | 11.6    | 12.1    | 14.4    |
| P/B (X)                            | 1.7     | 2.4     | 2.1     | 2.0     |
| FCF yield (%)                      | 5.5     | 4.9     | 0.3     | 5.3     |
| EV/EBITDAR (X)                     | 15.7    | 9.7     | 7.8     | 8.7     |
| EV/EBITDA (excl. leases) (X)       | 15.7    | 9.7     | 7.8     | 8.7     |
| CROCI (%)                          | 6.4     | 14.3    | 12.8    | 10.3    |
| ROE (%)                            | (21.7)  | 21.4    | 18.6    | 13.9    |
| Net debt/equity (%)                | 17.0    | 15.7    | 20.3    | 24.9    |
| Net debt/equity (excl. leases) (%) | 17.0    | 15.7    | 20.3    | 24.9    |
| Interest cover (X)                 | 8.3     | —       | —       | —       |
| Days inventory outst. sales        | 119.0   | 81.3    | 84.2    | 100.0   |
| Receivable days                    | 110.1   | 78.9    | 81.4    | 98.3    |
| Days payable outstanding           | 56.5    | 39.5    | 43.9    | 51.9    |
| DuPont ROE (%)                     | (26.3)  | 20.2    | 17.3    | 13.8    |
| Turnover (X)                       | 0.5     | 0.7     | 0.7     | 0.7     |
| Leverage (X)                       | 1.8     | 1.7     | 1.6     | 1.7     |
| Gross cash invested (ex cash) (¥)  | 509.9   | 560.2   | 643.3   | 687.1   |
| Average capital employed (¥)       | 335.6   | 323.4   | 362.8   | 395.0   |
| BVPS (¥)                           | 2,332.9 | 2,553.0 | 2,853.7 | 3,025.3 |

## Growth & Margins (%)

|                      | 12/25   | 12/26E | 12/27E | 12/28E |
|----------------------|---------|--------|--------|--------|
| Total revenue growth | 7.9     | 38.5   | 18.3   | (8.4)  |
| EBITDA growth        | (19.0)  | 142.6  | 28.0   | (13.5) |
| EPS growth           | (811.4) | 183.8  | (4.1)  | (15.7) |
| DPS growth           | 67.9    | (24.0) | 7.5    | (15.9) |
| EBIT margin          | 6.0     | 17.1   | 19.0   | 16.3   |
| EBITDA margin        | 12.9    | 22.5   | 24.4   | 23.0   |
| Net income margin    | (29.1)  | 17.6   | 14.3   | 12.2   |

## Price Performance



## Income Statement (¥ bn)

|                                          | 12/25          | 12/26E       | 12/27E       | 12/28E       |
|------------------------------------------|----------------|--------------|--------------|--------------|
| Total revenue                            | 240.4          | 333.0        | 394.0        | 361.0        |
| Cost of goods sold                       | (169.9)        | (214.0)      | (252.0)      | (232.0)      |
| SG&A                                     | (54.3)         | (62.0)       | (67.0)       | (70.0)       |
| R&D                                      | (5.8)          | (6.0)        | (6.0)        | (6.0)        |
| Other operating inc./exp.)               | —              | —            | —            | —            |
| <b>EBITDA</b>                            | <b>30.9</b>    | <b>75.0</b>  | <b>96.0</b>  | <b>83.0</b>  |
| Depreciation & amortization              | (16.5)         | (18.0)       | (21.0)       | (24.0)       |
| <b>EBIT</b>                              | <b>14.4</b>    | <b>57.0</b>  | <b>75.0</b>  | <b>59.0</b>  |
| Net interest inc./exp.)                  | 1.3            | —            | —            | —            |
| Income/(loss) from associates            | —              | —            | —            | —            |
| <b>Pre-tax profit</b>                    | <b>15.7</b>    | <b>70.0</b>  | <b>75.0</b>  | <b>59.0</b>  |
| Provision for taxes                      | (5.2)          | (11.4)       | (18.8)       | (14.8)       |
| Minority interest                        | (0.4)          | —            | —            | —            |
| Preferred dividends                      | —              | —            | —            | —            |
| <b>Net inc. (pre-exceptionals)</b>       | <b>(69.9)</b>  | <b>58.6</b>  | <b>56.2</b>  | <b>44.2</b>  |
| Post-tax exceptionals                    | —              | —            | —            | —            |
| <b>Net inc. (post-exceptionals)</b>      | <b>(69.9)</b>  | <b>58.6</b>  | <b>56.2</b>  | <b>44.2</b>  |
| <b>EPS (basic, pre-exception) (¥)</b>    | <b>(623.9)</b> | <b>523.1</b> | <b>501.7</b> | <b>422.9</b> |
| <b>EPS (diluted, pre-exception) (¥)</b>  | <b>(623.9)</b> | <b>523.1</b> | <b>501.7</b> | <b>422.9</b> |
| <b>EPS (basic, post-exception) (¥)</b>   | <b>(623.9)</b> | <b>523.1</b> | <b>501.7</b> | <b>422.9</b> |
| <b>EPS (diluted, post-exception) (¥)</b> | <b>(623.9)</b> | <b>523.1</b> | <b>501.7</b> | <b>422.9</b> |
| DPS (¥)                                  | 246.0          | 187.0        | 201.0        | 169.0        |
| Div. payout ratio (%)                    | (39.4)         | 35.7         | 40.1         | 40.0         |

## Balance Sheet (¥ bn)

|                                       | 12/25        | 12/26E       | 12/27E       | 12/28E       |
|---------------------------------------|--------------|--------------|--------------|--------------|
| Cash & cash equivalents               | 110.0        | 96.7         | 76.4         | 62.4         |
| Accounts receivable                   | 63.5         | 80.5         | 95.2         | 99.3         |
| Inventory                             | 65.2         | 83.3         | 98.5         | 99.3         |
| Other current assets                  | 45.7         | 45.7         | 45.7         | 45.7         |
| <b>Total current assets</b>           | <b>284.4</b> | <b>306.0</b> | <b>315.8</b> | <b>306.6</b> |
| Net PP&E                              | 162.9        | 161.9        | 190.9        | 196.9        |
| Net intangibles                       | 3.2          | 3.2          | 3.2          | 3.2          |
| Total investments                     | 5.3          | 5.3          | 5.3          | 5.3          |
| Other long-term assets                | 17.2         | 17.2         | 17.2         | 17.2         |
| <b>Total assets</b>                   | <b>473.0</b> | <b>493.7</b> | <b>532.4</b> | <b>529.2</b> |
| Accounts payable                      | 18.6         | 27.8         | 32.8         | 33.1         |
| Short-term debt                       | 35.3         | 22.2         | 22.2         | 22.2         |
| Short-term lease liabilities          | —            | —            | —            | —            |
| Other current liabilities             | 46.5         | 46.5         | 46.5         | 46.5         |
| <b>Total current liabilities</b>      | <b>100.4</b> | <b>96.4</b>  | <b>101.5</b> | <b>101.7</b> |
| Long-term debt                        | 119.9        | 119.9        | 119.9        | 119.9        |
| Long-term lease liabilities           | —            | —            | —            | —            |
| Other long-term liabilities           | (13.1)       | (13.1)       | (13.1)       | (13.1)       |
| <b>Total long-term liabilities</b>    | <b>106.9</b> | <b>106.9</b> | <b>106.9</b> | <b>106.9</b> |
| <b>Total liabilities</b>              | <b>207.2</b> | <b>203.3</b> | <b>208.4</b> | <b>208.6</b> |
| Preferred shares                      | —            | —            | —            | —            |
| <b>Total common equity</b>            | <b>261.3</b> | <b>286.0</b> | <b>319.7</b> | <b>316.2</b> |
| <b>Minority interest</b>              | <b>4.4</b>   | <b>4.4</b>   | <b>4.4</b>   | <b>4.4</b>   |
| <b>Total liabilities &amp; equity</b> | <b>473.0</b> | <b>493.7</b> | <b>532.4</b> | <b>529.2</b> |
| Net debt, adjusted                    | 45.2         | 45.4         | 65.7         | 79.7         |

## Cash Flow (¥ bn)

|                                  | 12/25         | 12/26E        | 12/27E        | 12/28E        |
|----------------------------------|---------------|---------------|---------------|---------------|
| Net income                       | (69.9)        | 58.6          | 56.2          | 44.2          |
| D&A add-back                     | 16.5          | 18.0          | 21.0          | 24.0          |
| Minority interest add-back       | 0.4           | —             | —             | —             |
| Net (inc)/dec working capital    | 4.0           | (25.9)        | (24.9)        | (4.6)         |
| Other operating cash flow        | 91.7          | —             | —             | —             |
| <b>Cash flow from operations</b> | <b>42.7</b>   | <b>50.7</b>   | <b>52.3</b>   | <b>63.6</b>   |
| Capital expenditures             | (18.7)        | (17.0)        | (50.0)        | (30.0)        |
| Acquisitions                     | —             | —             | —             | —             |
| Divestitures                     | —             | —             | —             | —             |
| Others                           | (1.1)         | —             | —             | —             |
| <b>Cash flow from investing</b>  | <b>(19.8)</b> | <b>(17.0)</b> | <b>(50.0)</b> | <b>(30.0)</b> |
| Repayment of lease liabilities   | —             | —             | —             | —             |
| Dividends paid (common & pref)   | (27.6)        | (20.9)        | (22.5)        | (17.7)        |
| Inc/(dec) in debt                | 46.5          | (13.1)        | 0.0           | —             |
| Other financing cash flows       | (70.2)        | (13.0)        | 0.0           | (30.0)        |
| <b>Cash flow from financing</b>  | <b>(51.2)</b> | <b>(47.1)</b> | <b>(22.5)</b> | <b>(47.7)</b> |
| <b>Total cash flow</b>           | <b>(28.3)</b> | <b>(13.3)</b> | <b>(20.2)</b> | <b>(14.0)</b> |
| Free cash flow                   | 24.1          | 33.7          | 2.3           | 33.6          |

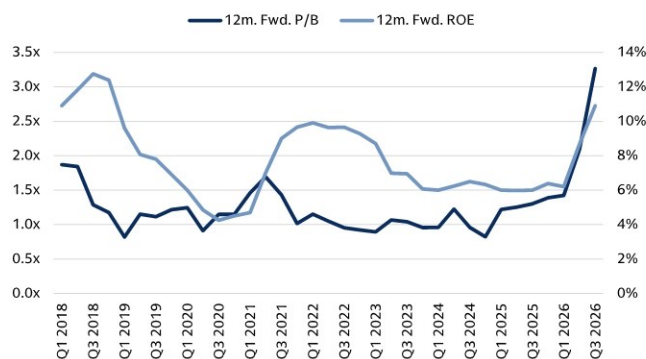
Source: Company data, Goldman Sachs Research estimates.

**Orders and order momentum leading indicators for valuation: Despite a sharp jump to record high FY12/27E earnings, orders peak-out suggests multiple compression ahead**  
 Since the GFC, THK's share price and the company's order trends (both in absolute terms and in momentum) have shown a high degree of correlation. The possibility that order momentum is now slowing reinforces our view that multiple expansion has run its course and is approaching a turning point.

We look back at valuation trends following the two peak cycles of the past 10 years (Exhibits 1-2). In both (1) 2017 to early 2018, when supply/demand for linear motion components was at its tightest, and (2) 2021, when post-Covid investment in the EV and new energy areas in China took off, partly driven by semiconductor demand, the timing of the peak in orders was itself the peak in valuation (multiples).

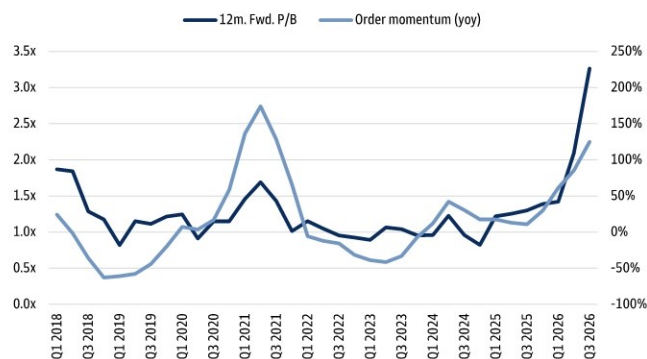
What warrants attention is the lag versus the earnings peak (Exhibits 3-4). In (1), earnings peaked in 3Q-4Q 2018, roughly six months to a year after the order peak. In (2), owing to component bottlenecks during the Covid pandemic, the earnings peak only materialized in 2022, about a year after the order peak. In other words, the share price has tended to price in, ahead of time, the earnings outlook implied by order trends, rather than following reported earnings. Applying this correlation, current valuation suggests the stock market has already begun, through order trends, to price in the possibility of an earnings peak-out in 2027-28.

**Exhibit 1: THK: Trends in 12m fwd ROE vs. 12m fwd P/B (Quarterly basis)**

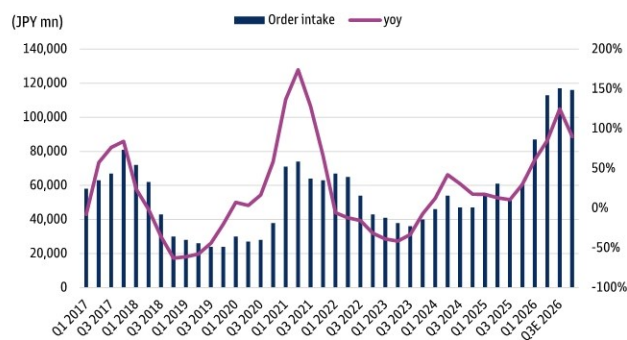


Source: Company data, LSEG Data & Analytics, Goldman Sachs Global Investment Research

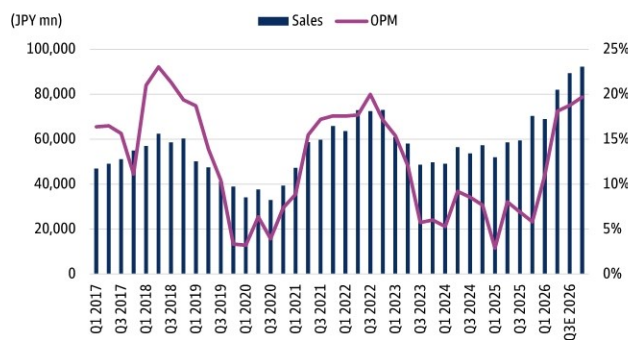
**Exhibit 2: THK: Trends in Quarterly order momentum and P/B (Quarterly basis)**



Source: Company data, LSEG Data & Analytics

**Exhibit 3: THK: Trends in Quarterly Orders and YoY Momentum**

Source: Company data, Goldman Sachs Global Investment Research

**Exhibit 4: THK: Trends in Quarterly Revenues and OPM**

Source: Company data, Goldman Sachs Global Investment Research

### Higher yoy hurdles and the emergence of last-minute demand, suggest a peak-out in momentum looks likely

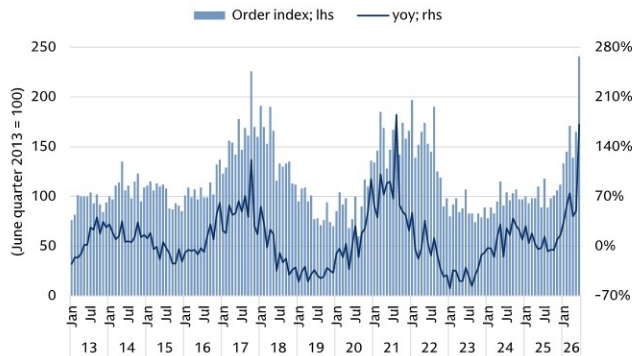
How we view the cycle: Based on comments from investors ([LINK](#)), the predominant view seems to be that it is still too early to price in a peak-out. This is because demand for semiconductor production equipment (SPE), which accounts for a little over 20% of our FY12/27E sales forecast for THK, is likely to keep rising for the time being. We too see a high probability that SPE-related demand will continue to rise, but we do not think the same necessarily applies to other areas. Rather, machinery and equipment upstream and downstream of semiconductors, such as machine tools, are likely to be more heavily affected in a correction phase.

For SPE, company commentary across the supply chain suggests that companies are scrutinizing the quality of orders in light of the amplitude of past cycles. For example, CKD, which we estimate holds a market share of over 40% in fluid control equipment, commented recently that it is declining some orders where projects exceed its production capacity or where customers are placing advance orders.

By contrast, in comments shared by linear motion component makers after 1Q results, e.g. THK, Nippon Thompson, NSK, HIWIN, and Hengli, none said they were turning down customer inquiries because of delivery delays or a trend toward advance or double ordering. We believe there are factors common to these companies: (1) a high proportion of sales via distributors, (2) demand that is not limited to SPE, and (3) as a result, product lineups centered on highly general-purpose items, with many suppliers present. While companies have noted they are managing this rigorously, given their strong stance of trying to meet customer projects one way or another, as noted above, we regard this as companies continuing to selectively accept projects and repeatedly vet customers.

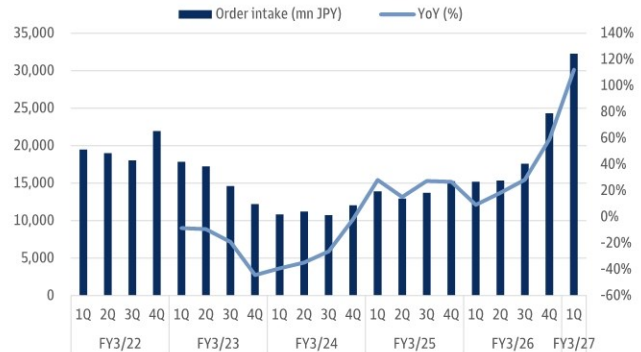
In other words, we think this reflects the fact that supply/demand for non-SPE linear motion components is not tight enough to be described as structural, and that discipline over the quality of the order backlog has historically been loose. On the other hand, our channel checks suggest that users, including machine tool makers, have begun placing advance orders, which is noteworthy, as it suggests that current orders could include speculative demand in excess of real demand.

**Exhibit 5: NSK: Trends in order for precision machinery (LM products, esp. ball screws) - indexed at 1QCY13 as 100**



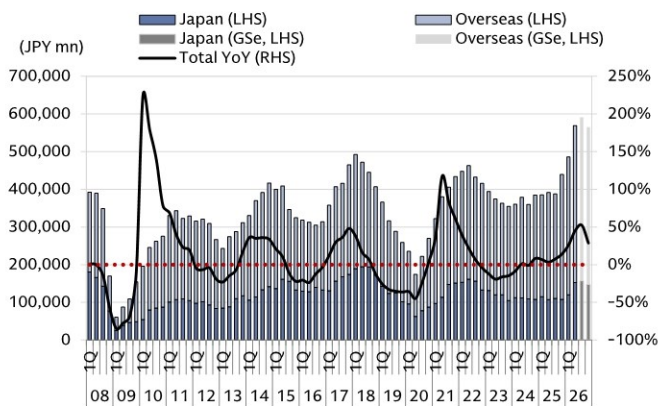
Source: Company data

**Exhibit 6: IKO (Nippon Thompson): Trends in Quarterly Orders, YoY**



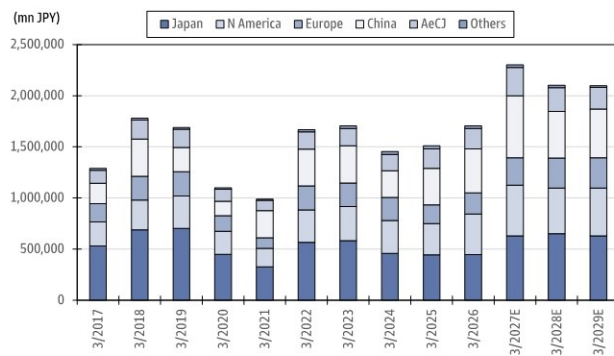
Source: Company data

**Exhibit 7: JMTBA - Trends in Quarterly Order, YoY**



Source: JMTBA, Goldman Sachs Global Investment Research

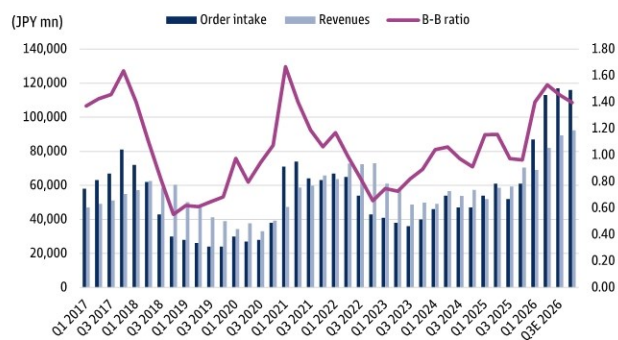
**Exhibit 8: Trends in our order outlook on JMTBA based machine tools orders**



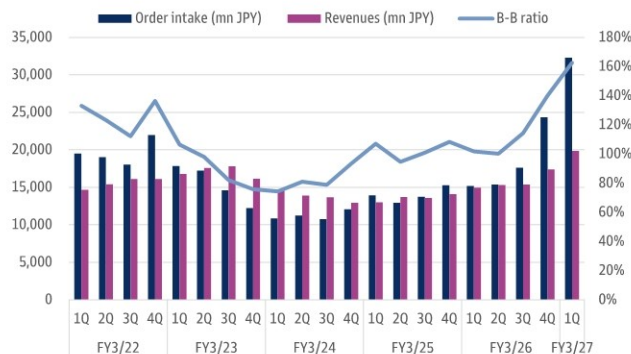
Source: JMTBA, Goldman Sachs Global Investment Research

**Given concerns over a peak-out in order momentum, we see sustainability, rather than record earnings in FY12/27, as the focus**

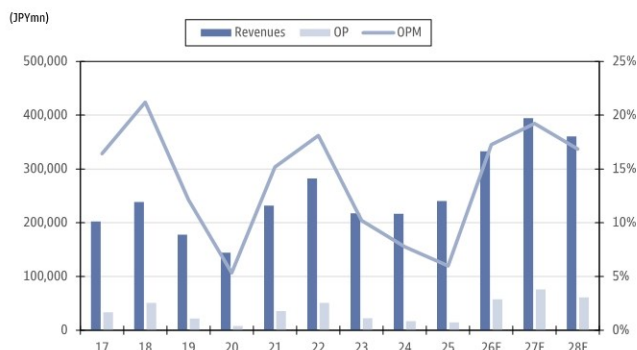
Reflecting the stronger-than-expected order trend, we forecast operating profit of ¥57.0 bn for FY12/26 (previously ¥37.0 bn) and ¥75.0 bn for FY12/27 (previously ¥39.0 bn). For FY12/26E, we see a high probability that conditions improve to the point where quarterly operating profit approaches ¥18.0 bn toward the end of the fiscal year. At the same time, we are focused on the outlook for orders and changes in lead times. The B/B ratio is approaching its past peak, and at linear motion component makers other than THK it has already exceeded prior peaks. As discussed above, we anticipate that THK's order momentum is likely to peak out in the near term.

**Exhibit 9: THK: Trends in quarterly orders and revenues, B-B ratio**

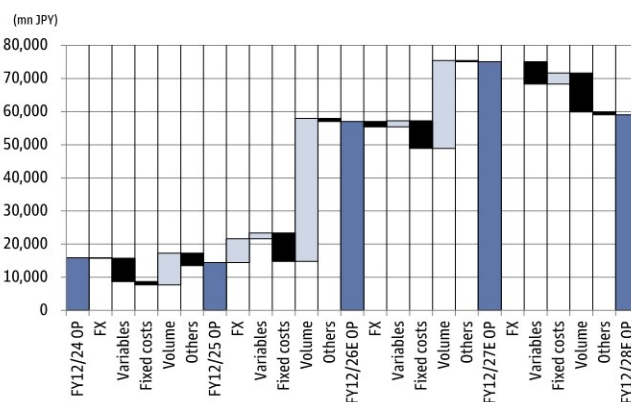
Source: Company data, Goldman Sachs Global Investment Research

**Exhibit 10: IKO: Trends in Quarterly Orders and Revenues, B-B ratio**

Source: Company data

**Exhibit 11: THK: Trends in Revenues, OP and OPM**

Source: Company data, Goldman Sachs Global Investment Research

**Exhibit 12: THK: Trends in OP WALK by line item**

Source: Company data, Goldman Sachs Global Investment Research

Current order trends will be reflected in earnings from FY12/27E onward. For FY12/26E, taking into account the 2Q earnings beat, greater operating leverage from higher volumes, and price increases and the pass-through of higher raw material costs, and after factoring in higher fixed costs from growth investment to meet robust demand, we again raise our estimates. However, our current forecasts assume a reactionary decline from pulled-forward orders and the like toward FY12/28; while earnings are likely to remain at a high level, we expect them to fall back temporarily in FY12/28E as order pull-forward normalizes.

## Exhibit 13: THK: Simplified Earnings Summary at a Glance

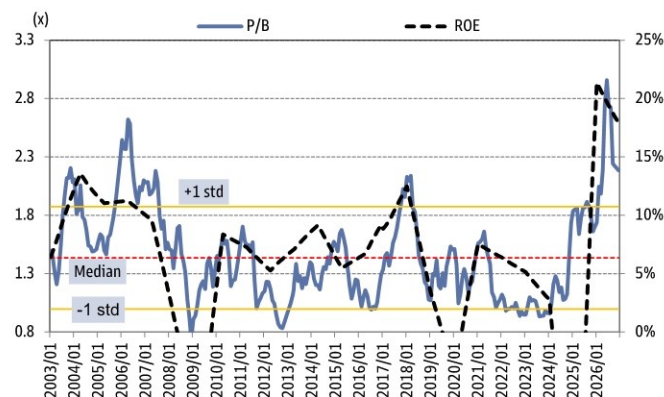
| THK(6481.T)<br>(mn JPY, JPY %)                                                 | 12/2025<br>IFRS | 12/2026E<br>IFRS | 12/2027E<br>IFRS | 12/2028E<br>IFRS | 12/28 CofE<br>Full-year | 25/12 1Q<br>Segment | 25/12 2Q<br>Segment | 25/12 3Q<br>Segment | 25/12 4Q<br>Segment | 26/12 1Q<br>Segment | 26/12 2Q<br>Segment | 26/12 3Q<br>Segment | 26/12 4Q<br>Segment |
|--------------------------------------------------------------------------------|-----------------|------------------|------------------|------------------|-------------------------|---------------------|---------------------|---------------------|---------------------|---------------------|---------------------|---------------------|---------------------|
| Financial data                                                                 | Actual          | New              | New              | New              | New                     | Prelim              | Prelim              | Prelim              | Prelim              | Actual              | Actual              | New                 | New                 |
| Sales                                                                          | 240,444         | 333,000          | 394,000          | 361,000          | 276,000                 | 52,000              | 58,600              | 59,400              | 70,400              | 69,043              | 82,024              | 89,410              | 92,300              |
| EBITDA                                                                         | 30,915          | 75,000           | 96,000           | 83,000           | 48,900                  | -                   | -                   | -                   | -                   | -                   | -                   | -                   | -                   |
| Operating profits                                                              | 14,436          | 57,000           | 75,000           | 69,000           | 31,000                  | 1,500               | 4,700               | 4,100               | 4,100               | 7,620               | 14,863              | 16,772              | 18,178              |
| Net profits                                                                    | 69,891          | 58,600           | 56,200           | 44,200           | 22,700                  | -                   | -                   | -                   | -                   | -                   | -                   | -                   | -                   |
| EPS (JPY)                                                                      | -623.9          | 523.1            | 501.7            | 422.9            | 202.6                   | -                   | -                   | -                   | -                   | -                   | -                   | -                   | -                   |
| R&D expenses<br>(As a % of sales)                                              | 5.77%           | 6.00%            | 6.00%            | 6.00%            | 6.00%                   | -                   | -                   | -                   | -                   | -                   | -                   | -                   | -                   |
| Depreciation<br>(As a % of sales)                                              | 2.4%            | 1.8%             | 1.5%             | 1.7%             | 2.2%                    | -                   | -                   | -                   | -                   | -                   | -                   | -                   | -                   |
| Capex<br>(As a % of sales)                                                     | 16.47%          | 18.00%           | 21.00%           | 24.00%           | 17.90%                  | -                   | -                   | -                   | -                   | -                   | -                   | -                   | -                   |
| As a % of sales                                                                | 6.9%            | 5.4%             | 5.3%             | 6.6%             | 6.5%                    | -                   | -                   | -                   | -                   | -                   | -                   | -                   | -                   |
| YoY % change                                                                   | 12.9%           | 22.5%            | 24.4%            | 23.0%            | 17.7%                   | 5.9%                | 3.7%                | 10.6%               | 22.9%               | 32.8%               | 40.0%               | 50.5%               | 31.1%               |
| EBITDA                                                                         | 6.0%            | 17.1%            | 19.0%            | 16.3%            | 11.2%                   | -                   | -                   | -                   | -                   | -                   | -                   | -                   | -                   |
| Operating profits                                                              | -29.1%          | 17.6%            | 14.3%            | 12.2%            | 8.2%                    | -42.3%              | -9.6%               | -10.9%              | -6.8%               | 408.0%              | 216.2%              | 309.1%              | 343.4%              |
| Net profits                                                                    | -               | -                | -                | -                | -                       | -                   | -                   | -                   | -                   | -                   | -                   | -                   | -                   |
| Operating profit walk analysis                                                 | -               | -                | -                | -                | -                       | -                   | -                   | -                   | -                   | -                   | -                   | -                   | -                   |
| Forex impact                                                                   | -200            | 7,200            | -1,600           | 0                | -                       | 100                 | -600                | 0                   | 300                 | 100                 | 4,100               | 3,000               | 0                   |
| Change in variable costs ratio                                                 | -7,000          | 1,700            | 1,800            | -6,700           | -                       | -1,600              | -700                | -2,800              | -1,900              | 1,427               | -727                | 500                 | 500                 |
| Change in fixed costs                                                          | -1,000          | -8,500           | -3,300           | 3,400            | -                       | -500                | -700                | -100                | 300                 | -607                | -1,893              | -3,000              | -3,000              |
| Change in volume                                                               | 9,600           | 43,150           | 26,500           | -11,800          | -                       | 1,500               | 2,400               | 3,200               | 2,500               | 5,900               | 8,100               | 11,572              | 17,578              |
| Others/adjustments                                                             | -3,800          | -950             | -400             | -900             | -                       | -600                | -900                | -800                | -1,500              | 720                 | 620                 | 620                 | 978                 |
| Change in OP of "Industrials"                                                  | -2,400          | 42,600           | 18,000           | -16,000          | -                       | -1,100              | -500                | -500                | -300                | 6,100               | 10,200              | 12,700              | 14,100              |
| Change in Total OP                                                             | -2,400          | 42,600           | 18,000           | -16,000          | -                       | -1,100              | -500                | -500                | -300                | 6,100               | 10,200              | 12,700              | 14,100              |
| Orders by division/region (all in local currency, total cons. figures are GSe) | -               | -                | -                | -                | -                       | -                   | -                   | -                   | -                   | -                   | -                   | -                   | -                   |
| Sub total for major regions (mn JPY, GSe)                                      | 228,000         | 432,000          | 391,000          | 355,000          | -                       | 54,000              | 61,000              | 52,000              | 61,000              | 87,000              | 113,000             | 117,000             | 116,000             |
| Japan (mn JPY)                                                                 | 86,700          | 164,600          | 149,000          | 135,000          | -                       | 19,700              | 22,000              | 21,300              | 23,800              | 29,800              | 37,400              | 48,700              | 48,700              |
| Americas (mn USD)                                                              | 198             | 312              | 286              | 270              | -                       | 49                  | 49                  | 48                  | 52                  | 68                  | 79                  | 80                  | 85                  |
| Europe (mn Euro)                                                               | 132             | 156              | 144              | 135              | -                       | 32                  | 33                  | 32                  | 35                  | 42                  | 39                  | 35                  | 40                  |
| Taiwan (mn NTD)                                                                | 1,236           | 2,427            | 2,192            | 1,977            | -                       | 323                 | 309                 | 310                 | 294                 | 455                 | 622                 | 650                 | 700                 |
| Mainland China (mn RMB)                                                        | 3,985           | 7,750            | 6,975            | 6,278            | -                       | 963                 | 1,214               | 802                 | 1,006               | 1,621               | 2,229               | 2,000               | 1,900               |
| Estimated book to bill                                                         | 1.05            | 1.44             | 1.18             | 1.08             | -                       | 1.15                | 1.16                | 0.97                | 0.96                | 1.40                | 1.53                | 1.45                | 1.40                |
| YoY Momentum                                                                   | 18%             | 89%              | -9%              | -9%              | -                       | 17%                 | 13%                 | 11%                 | 30%                 | 61%                 | 85%                 | 125%                | 90%                 |
| QoQ Momentum                                                                   | -               | -                | -                | -                | -                       | 15%                 | 13%                 | -15%                | 17%                 | 43%                 | 30%                 | 4%                  | -1%                 |
| Sales by Region                                                                | -               | -                | -                | -                | -                       | -                   | -                   | -                   | -                   | -                   | -                   | -                   | -                   |
| Japan                                                                          | 96,415          | 137,721          | 147,000          | 142,000          | 102,700                 | 20,596              | 20,797              | 21,710              | 22,928              | 22,773              | 27,181              | 31,000              | 33,000              |
| Americas                                                                       | 27,168          | 38,855           | 46,382           | 43,055           | 31,200                  | 6,700               | 7,200               | 7,400               | 7,600               | 8,600               | 9,200               | 10,205              | 10,850              |
| Europe                                                                         | 21,611          | 27,600           | 33,750           | 27,706           | 25,200                  | 5,200               | 5,200               | 5,400               | 5,400               | 6,700               | 6,800               | 7,000               | 7,000               |
| China                                                                          | 71,188          | 97,110           | 120,000          | 102,000          | 76,400                  | 14,200              | 18,800              | 18,800              | 18,600              | 20,900              | 27,000              | 30,000              | 30,000              |
| Asia ex China Japan / Other adjustments                                        | 24,059          | 31,714           | 46,868           | 46,239           | 24,500                  | 5,304               | 6,603               | 6,090               | 15,872              | 10,070              | 11,743              | 11,205              | 11,450              |
| Total                                                                          | 240,444         | 333,000          | 394,000          | 361,000          | 276,000                 | 52,000              | 58,600              | 59,400              | 70,400              | 69,043              | 82,024              | 89,410              | 92,300              |

Source: Company data, Goldman Sachs Global Investment Research

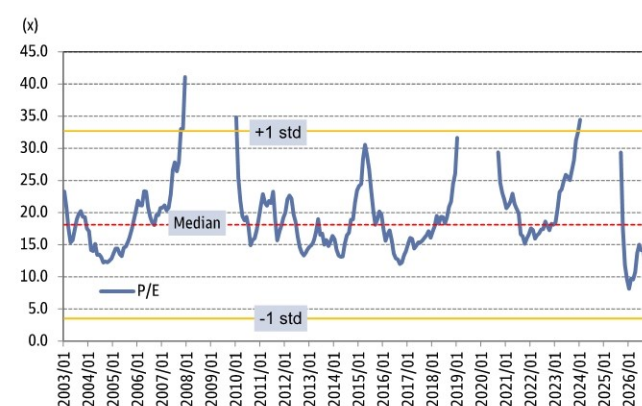
### Valuation: Sector multiple lowered from 10X to 9X, sector-relative premium removed, from +40% to ±0%

Given that how to restore and maintain ROE above 10% has become management's top agenda item, the key focus will likely be how to sustain the benefits of the current business environment. We view the expansion of ball screw capacity in China announced with 1H results, primarily aimed at SPE, as a likely step to strengthen that foundation. That said, given the buildup of shareholders' equity and the nature of a business with high earnings volatility, ROE and CROCI are likely to converge gradually toward their historical ranges through FY12/28.

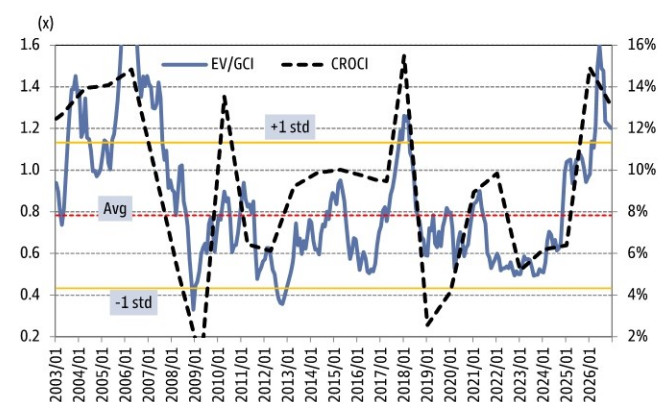
Our 12-month target price moves to ¥6,500, down from ¥7,500. While our methodology is unchanged: an EV/EBITDA approach applying a sector multiple and factoring in the historical sector-relative discount or premium; we now use normalized earnings and normalized multiples as our valuation basis. We have revised the base year and multiples as follows. Sector-appropriate multiple: from 10X to 9X, in light of the recent decline in multiples for the stock market and for our machinery sector coverage overall. Sector-relative premium: from +40% to ±0% (equivalent to the company's median plus 1 standard deviation over the past 20-plus years; the median is a 20% discount to the sector, and the discount has recently widened to over 30% - implying that the equity market is already trading the stock based on normalized earnings instead of the near-term earnings).

**Exhibit 14: THK: Long-term trends in 12m Fwd P/B vs. 12m Fwd ROE**

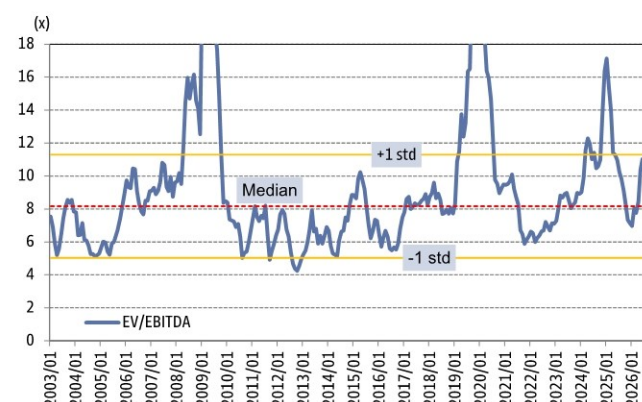
Source: LSEG Data & Analytics, Company data, Goldman Sachs Global Investment Research

**Exhibit 15: THK: Long-term trends in 12m Fwd P/E**

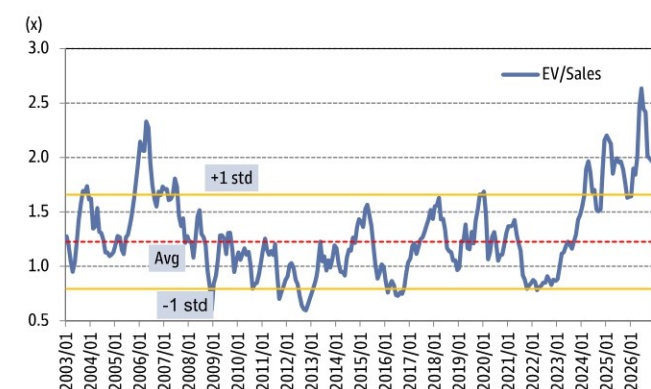
Source: LSEG Data & Analytics, Company data, Goldman Sachs Global Investment Research

**Exhibit 16: THK: Long-term trends in 12m Fwd EV/GCI vs. 12m Fwd CROCI**

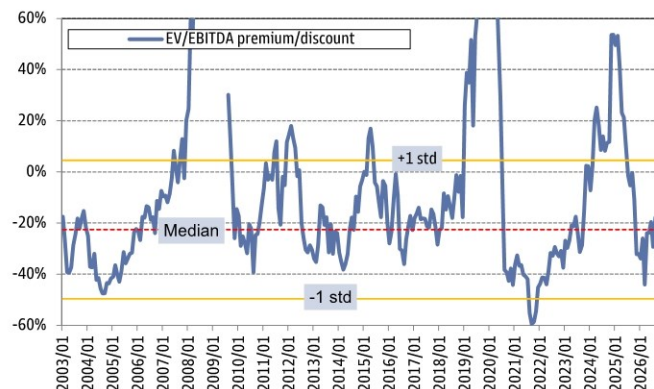
Source: LSEG Data & Analytics, Company data, Goldman Sachs Global Investment Research

**Exhibit 17: THK: Long-term trends in 12m Fwd EV/EBITDA**

Source: LSEG Data & Analytics, Company data, Goldman Sachs Global Investment Research

**Exhibit 18: THK: Long-term trends in 12m Fwd EV/Sales**

Source: LSEG Data & Analytics, Company data, Goldman Sachs Global Investment Research

**Exhibit 19: THK: Long-term trends in Sector Relative EV/EBITDA Premium/Discount**

Source: LSEG Data & Analytics, Company data, Goldman Sachs Global Investment Research

## Investment Thesis - THK

We are Neutral rated on THK, the world's leading supplier in the linear motion (LM) guide

segment. Following the divestiture of its non-core automotive business in June 2026, we view the company's ability to sustain its competitive edge in LM guides as the most critical factor for its long-term outlook.

While we believe intensifying competition from Chinese players will gradually impact both THK's growth trajectory and margin profile, strong near-term demand will likely help offset such concerns at least in the near term. We continue to favor automation companies that retain strong competitive moats across both China and non-China markets, and accordingly see the current valuation levels for THK as fair.

**Price Target Risks and Methodology - THK (6481.T)**

Our 12-month target price of ¥6,500 is based on a FY12/28E EV/EBITDA, applying the sector-average multiple of 9X and a 0% sector-relative premium (normalized).

Key upside/downside risks to our view include fundamental improvement/disappointment in profitability at the linear motion components, and tight/loose supply/demand and higher/lower prices in the Asian/global linear motion components industry.

## Disclosure Appendix

### Reg AC

We, Yuichiro Isayama and Takato Enoki, hereby certify that all of the views expressed in this report accurately reflect our personal views about the subject company or companies and its or their securities. We also certify that no part of our compensation was, is or will be, directly or indirectly, related to the specific recommendations or views expressed in this report.

Unless otherwise stated, the individuals listed on the cover page of this report are analysts in Goldman Sachs' Global Investment Research division.

**Contributing Authors:** Yuichiro Isayama Goldman Sachs Japan Co., Ltd., Takato Enoki Goldman Sachs Japan Co., Ltd..

Unless otherwise stated, the individuals listed in the Contributing Authors disclosure of this report are analysts in Goldman Sachs' Global Investment Research division.

### GS Factor Profile

The Goldman Sachs Factor Profile provides investment context for a stock by comparing key attributes to the market (i.e. our universe of rated stocks) and its sector peers. The four key attributes depicted are: Growth, Financial Returns, Multiple (e.g. valuation) and Integrated (a composite of Growth, Financial Returns and Multiple). Growth, Financial Returns and Multiple are calculated by using normalized ranks for specific metrics for each stock. The normalized ranks for the metrics are then averaged and converted into percentiles for the relevant attribute. The precise calculation of each metric may vary depending on the fiscal year, industry and region, but the standard approach is as follows:

**Growth** is based on a stock's forward-looking sales growth, EBITDA growth and EPS growth (for financial stocks, only EPS and sales growth), with a higher percentile indicating a higher growth company. **Financial Returns** is based on a stock's forward-looking ROE, ROCE and CROCI (for financial stocks, only ROE), with a higher percentile indicating a company with higher financial returns. **Multiple** is based on a stock's forward-looking P/E, P/B, price/dividend (P/D), EV/EBITDA, EV/FCF and EV/Debt Adjusted Cash Flow (DACF) (for financial stocks, only P/E, P/B and P/D), with a higher percentile indicating a stock trading at a higher multiple. The **Integrated** percentile is calculated as the average of the Growth percentile, Financial Returns percentile and (100% - Multiple percentile).

Financial Returns and Multiple use the Goldman Sachs analyst forecasts at the fiscal year-end at least three quarters in the future. Growth uses inputs for the fiscal year at least seven quarters in the future compared with the year at least three quarters in the future (on a per-share basis for all metrics).

For a more detailed description of how we calculate the GS Factor Profile, please contact your GS representative.

### M&A Rank

Across our global coverage, we examine stocks using an M&A framework, considering both qualitative factors and quantitative factors (which may vary across sectors and regions) to incorporate the potential that certain companies could be acquired. We then assign a M&A rank as a means of scoring companies under our rated coverage from 1 to 3, with 1 representing high (30%-50%) probability of the company becoming an acquisition target, 2 representing medium (15%-30%) probability and 3 representing low (0%-15%) probability. For companies ranked 1 or 2, in line with our standard departmental guidelines we incorporate an M&A component into our target price. M&A rank of 3 is considered immaterial and therefore does not factor into our price target, and may or may not be discussed in research.

### Quantum

Quantum is Goldman Sachs' proprietary database providing access to detailed financial statement histories, forecasts and ratios. It can be used for in-depth analysis of a single company, or to make comparisons between companies in different sectors and markets.

### Disclosures

**The rating(s) for THK is/are relative to the other companies in its/their coverage universe:** AeroEdge, CKD, Daifuku, Daikin Industries, Fanuc, Harmonic Drive Systems, Hoshizaki, IHI, Japan Material, Japan Steel Works, Kawasaki Heavy Industries, Keyence, Komatsu, Kubota, Kurita Water Industries, Makita, Misumi Group, Mitsubishi Heavy Industries, Nomura Micro Science, Okuma, Omron, Organo Corp., SKY Perfect JSAT Corp, SMC, THK, Yaskawa Electric

### Company-specific regulatory disclosures

The following disclosures relate to relationships between The Goldman Sachs Group, Inc. (with its affiliates, "Goldman Sachs") and companies covered by Goldman Sachs Global Investment Research and referred to in this research.

Goldman Sachs had a non-securities services client relationship during the past 12 months with: THK (¥6,072)

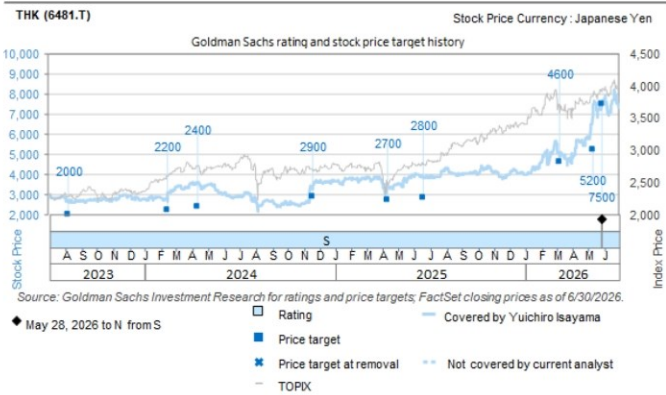
### Distribution of ratings/investment banking relationships

Goldman Sachs Investment Research global Equity coverage universe

|        | Rating Distribution |      |      |  | Investment Banking Relationships |      |      |
|--------|---------------------|------|------|--|----------------------------------|------|------|
|        | Buy                 | Hold | Sell |  | Buy                              | Hold | Sell |
| Global | 50%                 | 34%  | 16%  |  | 65%                              | 59%  | 43%  |

As of July 1, 2026, Goldman Sachs Global Investment Research had investment ratings on 3,104 equity securities. Goldman Sachs assigns stocks as Buys and Sells on various regional Investment Lists; stocks not so assigned are deemed Neutral. Such assignments equate to Buy, Hold and Sell for the purposes of the above disclosure required by the FINRA Rules. See 'Ratings, Coverage universe and related definitions' below. The Investment Banking Relationships chart reflects the percentage of subject companies within each rating category for whom Goldman Sachs has provided investment banking services within the previous twelve months.

Price target and rating history chart(s)



The price targets shown should be considered in the context of all prior published Goldman Sachs research, which may or may not have included price targets, as well as developments relating to the company, its industry and financial markets.

Target price history table(s)

THK (6481.T)

| Date of report | Target price (¥) | Closing price (¥) |
|----------------|------------------|-------------------|
| 28-May-26      | 7,500            | 7,504             |
| 11-May-26      | 5,200            | 6,931             |
| 09-Mar-26      | 4,600            | 4,758             |
| 20-Jun-25      | 2,800            | 3,868             |
| 11-Apr-25      | 2,700            | 3,388             |
| 19-Nov-24      | 2,900            | 3,436             |
| 12-Apr-24      | 2,400            | 3,588             |
| 14-Feb-24      | 2,200            | 2,637             |

Price targets shown in table(s) are unadjusted for corporate actions.

Regulatory disclosures

Disclosures required by United States laws and regulations

See company-specific regulatory disclosures above for any of the following disclosures required as to companies referred to in this report: manager or co-manager in a pending transaction; 1% or other ownership; compensation for certain services; types of client relationships; managed/co-managed public offerings in prior periods; directorships; registered market maker. Goldman Sachs trades or may trade as a principal in debt securities (or in related derivatives) of issuers discussed in this report.

The following are additional required disclosures: **Ownership and material conflicts of interest:** Goldman Sachs policy prohibits its analysts, professionals reporting to analysts and members of their households from owning securities of any company in the analyst's area of coverage. **Analyst compensation:** Analysts are paid in part based on the profitability of Goldman Sachs, which includes investment banking revenues. **Analyst as officer or director:** Goldman Sachs policy generally prohibits its analysts, persons reporting to analysts or members of their households from serving as an officer, director or advisor of any company in the analyst's area of coverage. **Non-U.S. Analysts:** Non-U.S. analysts may not be associated persons of Goldman Sachs & Co. LLC and therefore may not be subject to FINRA Rule 2241 or FINRA Rule 2242 restrictions on communications with a subject company, public appearances and trading in securities covered by the analysts.

Additional disclosures required under the laws and regulations of jurisdictions other than the United States

The following disclosures are those required by the jurisdiction indicated, except to the extent already made above pursuant to United States laws and regulations. **Australia:** Goldman Sachs Australia Pty Ltd and its affiliates are not authorised deposit-taking institutions (as that term is defined in the Banking Act 1959 (Cth)) in Australia and do not provide banking services, nor carry on a banking business, in Australia. This research, and any access to it, is intended only for "wholesale clients" within the meaning of the Australian Corporations Act, unless otherwise agreed by Goldman Sachs. In producing research reports, members of Global Investment Research of Goldman Sachs Australia may attend site visits and other meetings hosted by the companies and other entities which are the subject of its research reports. In some instances the costs of such site visits or meetings may be met in part or in whole by the issuers concerned if Goldman Sachs Australia considers it is appropriate and reasonable in the specific circumstances relating to the site visit or meeting. To the extent that the contents of this document contains any financial product advice, it is general advice only and has been prepared by Goldman Sachs without taking into account a client's objectives, financial situation or needs. A client should, before acting on any such advice, consider the appropriateness of the advice having regard to the client's own objectives, financial situation and needs. A copy of certain Goldman Sachs Australia and New Zealand disclosure of interests and a copy of Goldman Sachs' Australian Sell-Side Research Independence Policy Statement are available at: <https://www.goldmansachs.com/disclosures/australia-new-zealand/index.html>. **Brazil:** Disclosure information in relation to CVM Resolution n. 20 is available at <https://www.gs.com/worldwide/brazil/area/gir/index.html>. Where applicable, the Brazil-registered analyst primarily responsible for the content of this research report, as defined in Article 20 of CVM Resolution n. 20, is the first author named at the beginning of this report, unless indicated otherwise at the end of the text. **Canada:** This information is being provided to you for information purposes only and is not, and under no circumstances should be construed as, an advertisement, offering or solicitation by Goldman Sachs & Co. LLC for purchasers of securities in Canada to trade in any Canadian security. Goldman Sachs & Co. LLC is not registered as a dealer in any jurisdiction in Canada under applicable Canadian securities laws and generally is not permitted to trade in Canadian securities and may be prohibited from selling certain securities and products in certain jurisdictions in Canada. If you wish to trade in any Canadian securities or other products in Canada please contact Goldman Sachs Canada Inc., an affiliate of The Goldman Sachs Group Inc., or another registered Canadian dealer. **Hong Kong:** Further information on the

securities of covered companies referred to in this research may be obtained on request from Goldman Sachs (Asia) L.L.C. **India:** Further information on the subject company or companies referred to in this research may be obtained from Goldman Sachs (India) Securities Private Limited, Research Analyst - SEBI Registration Number INH000001493, 10th Floor, Ascent-Worli, Sudam Kalu Ahire Marg, Worli, Mumbai-400 025, India, Corporate Identity Number U74140MH2006FTC160634, Phone +91 22 6616 9000, Fax +91 22 6616 9001. Goldman Sachs may beneficially own 1% or more of the securities (as such term is defined in clause 2 (h) the Indian Securities Contracts (Regulation) Act, 1956) of the subject company or companies referred to in this research report. Registration granted by SEBI and certification from NISM in no way guarantee performance of the intermediary or provide any assurance of returns to investors. Goldman Sachs (India) Securities Private Limited compliance officer and investor grievance contact details, a copy of the annual compliance audit report and other relevant information and disclosures can be found at this link: <https://www.goldmansachs.com/worldwide/india/research-analyst>. **Japan:** See below. **Korea:** This research, and any access to it, is intended only for "professional investors" within the meaning of the Financial Services and Capital Markets Act, unless otherwise agreed by Goldman Sachs. Further information on the subject company or companies referred to in this research may be obtained from Goldman Sachs (Asia) L.L.C., Seoul Branch. **New Zealand:** Goldman Sachs New Zealand Limited and its affiliates are neither "registered banks" nor "deposit takers" (as defined in the Reserve Bank of New Zealand Act 1989) in New Zealand. This research, and any access to it, is intended for "wholesale clients" (as defined in the Financial Advisers Act 2008) unless otherwise agreed by Goldman Sachs. A copy of certain Goldman Sachs Australia and New Zealand disclosure of interests is available at: <https://www.goldmansachs.com/disclosures/australia-new-zealand/index.html>. **Russia:** Research reports distributed in the Russian Federation are not advertising as defined in the Russian legislation, but are information and analysis not having product promotion as their main purpose and do not provide appraisal within the meaning of the Russian legislation on appraisal activity. Research reports do not constitute a personalized investment recommendation as defined in Russian laws and regulations, are not addressed to a specific client, and are prepared without analyzing the financial circumstances, investment profiles or risk profiles of clients. Goldman Sachs assumes no responsibility for any investment decisions that may be taken by a client or any other person based on this research report. **Singapore:** Goldman Sachs (Singapore) Pte. (Company Number: 198602165W), which is regulated by the Monetary Authority of Singapore, accepts legal responsibility for this research, and should be contacted with respect to any matters arising from, or in connection with, this research. **Taiwan:** This material is for reference only and must not be reprinted without permission. Investors should carefully consider their own investment risk. Investment results are the responsibility of the individual investor. **United Kingdom:** Persons who would be categorized as retail clients in the United Kingdom, as such term is defined in the rules of the Financial Conduct Authority, should read this research in conjunction with prior Goldman Sachs research on the covered companies referred to herein and should refer to the risk warnings that have been sent to them by Goldman Sachs International. A copy of these risks warnings, and a glossary of certain financial terms used in this report, are available from Goldman Sachs International on request.

**European Union and United Kingdom:** Disclosure information in relation to Article 6 (2) of the European Commission Delegated Regulation (EU) (2016/958) supplementing Regulation (EU) No 596/2014 of the European Parliament and of the Council (including as that Delegated Regulation is implemented into United Kingdom domestic law and regulation following the United Kingdom's departure from the European Union and the European Economic Area) with regard to regulatory technical standards for the technical arrangements for objective presentation of investment recommendations or other information recommending or suggesting an investment strategy and for disclosure of particular interests or indications of conflicts of interest is available at <https://www.gs.com/disclosures/europeanpolicy.html> which states the European Policy for Managing Conflicts of Interest in Connection with Investment Research.

**Japan:** Goldman Sachs Japan Co., Ltd. is a Financial Instrument Dealer registered with the Kanto Financial Bureau under registration number Kinsho 69, and a member of Japan Securities Dealers Association, Financial Futures Association of Japan Type II Financial Instruments Firms Association, and Investment Management Association of Japan. Sales and purchase of equities are subject to commission pre-determined with clients plus consumption tax. See company-specific disclosures as to any applicable disclosures required by Japanese stock exchanges, the Japanese Securities Dealers Association or the Japanese Securities Finance Company.

## Ratings, coverage universe and related definitions

**Buy (B), Neutral (N), Sell (S)** Analysts recommend stocks as Buys or Sells for inclusion on various regional Investment Lists. Being assigned a Buy or Sell on an Investment List is determined by a stock's total return potential relative to its coverage universe. Any stock not assigned as a Buy or a Sell on an Investment List with an active rating (i.e., a stock that is not Rating Suspended, Not Rated, Early-Stage Biotech, Coverage Suspended or Not Covered), is deemed Neutral. Each region manages Regional Conviction Lists, which are selected from Buy rated stocks on the respective region's Investment Lists and represent investment recommendations focused on the size of the total return potential and/or the likelihood of the realization of the return across their respective areas of coverage. The addition or removal of stocks from such Conviction Lists are managed by the Investment Review Committee or other designated committee in each respective region and do not represent a change in the analysts' investment rating for such stocks.

**Total return potential** represents the upside or downside differential between the current share price and the price target, including all paid or anticipated dividends, expected during the time horizon associated with the price target. Price targets are required for all covered stocks. The total return potential, price target and associated time horizon are stated in each report adding or reiterating an Investment List membership.

**Coverage Universe:** A list of all stocks in each coverage universe is available by primary analyst, stock and coverage universe at <https://www.gs.com/research/hedge.html>.

**Not Rated (NR).** The investment rating, target price and earnings estimates (where relevant) are removed pursuant to Goldman Sachs policy when Goldman Sachs is acting in an advisory capacity in a merger or in a strategic transaction involving this company, when there are legal, regulatory or policy constraints due to Goldman Sachs' involvement in a transaction, and in certain other circumstances. **Early-Stage Biotech (ES).** An investment rating and a target price are not assigned pursuant to Goldman Sachs policy when this company has neither a drug, treatment or medical device that has passed a Phase II clinical trial nor a license to distribute a post-Phase II drug, treatment or medical device. **Rating Suspended (RS).** Goldman Sachs Research has suspended the investment rating and price target for this stock, because there is not a sufficient fundamental basis for determining an investment rating or target price. The previous investment rating and target price, if any, are no longer in effect for this stock and should not be relied upon. **Coverage Suspended (CS).** Goldman Sachs has suspended coverage of this company. **Not Covered (NC).** Goldman Sachs does not cover this company.

## Global product; distributing entities

Goldman Sachs Global Investment Research produces and distributes research products for clients of Goldman Sachs on a global basis. Analysts based in Goldman Sachs offices around the world produce research on industries and companies, and research on macroeconomics, currencies, commodities and portfolio strategy. This research is disseminated in Australia by Goldman Sachs Australia Pty Ltd (ABN 21 006 797 897); in Brazil by Goldman Sachs do Brasil Corretora de Títulos e Valores Mobiliários S.A.; Public Communication Channel Goldman Sachs Brazil: 0800 727 5764 and / or [contatogoldmanbrasil@gs.com](mailto:contatogoldmanbrasil@gs.com). Available Weekdays (except holidays), from 9am to 6pm. Canal de Comunicação com o Público Goldman Sachs Brasil: 0800 727 5764 e/ou [contatogoldmanbrasil@gs.com](mailto:contatogoldmanbrasil@gs.com). Horário de funcionamento: segunda-feira à sexta-feira (exceto feriados), das 9h às 18h; in Canada by Goldman Sachs & Co. LLC; in Hong Kong by Goldman Sachs (Asia) L.L.C.; in India by Goldman Sachs (India) Securities Private Ltd.; in Japan by Goldman Sachs Japan Co., Ltd.; in the Republic of Korea by Goldman Sachs (Asia) L.L.C., Seoul Branch; in New Zealand by Goldman Sachs New Zealand Limited; in Russia by OOO Goldman Sachs; in Singapore by Goldman Sachs (Singapore) Pte. (Company Number: 198602165W); and in the United States of America by Goldman Sachs & Co. LLC. Goldman Sachs International has approved this research in connection with its distribution in the United Kingdom.

Goldman Sachs International ("GSI"), authorised by the Prudential Regulation Authority ("PRA") and regulated by the Financial Conduct Authority ("FCA") and the PRA, has approved this research in connection with its distribution in the United Kingdom.

**European Economic Area:** Goldman Sachs Bank Europe SE ("GSBE") is a credit institution incorporated in Germany and, within the Single Supervisory Mechanism, subject to direct prudential supervision by the European Central Bank and in other respects supervised by German Federal Financial Supervisory Authority (Bundesanstalt für Finanzdienstleistungsaufsicht, BaFin) and Deutsche Bundesbank and disseminates research within the European Economic Area.

## General disclosures

This research is for our clients only. Other than disclosures relating to Goldman Sachs, this research is based on current public information that we consider reliable, but we do not represent it is accurate or complete, and it should not be relied on as such. The information, opinions, estimates and forecasts contained herein are as of the date hereof and are subject to change without prior notification. We seek to update our research as appropriate, but various regulations may prevent us from doing so. Other than certain industry reports published on a periodic basis, the large majority of reports are published at irregular intervals as appropriate in the analyst's judgment.

Goldman Sachs conducts a global full-service, integrated investment banking, investment management, and brokerage business. We have investment banking and other business relationships with a substantial percentage of the companies covered by Global Investment Research. Goldman Sachs & Co. LLC, the United States broker dealer, is a member of SIPC (<https://www.sipc.org>).

Our salespeople, traders, and other professionals may provide oral or written market commentary or trading strategies to our clients and principal trading desks that reflect opinions that are contrary to the opinions expressed in this research. Our asset management area, principal trading desks and investing businesses may make investment decisions that are inconsistent with the recommendations or views expressed in this research.

The analysts named in this report may have from time to time discussed with our clients, including Goldman Sachs salespersons and traders, or may discuss in this report, trading strategies that reference catalysts or events that may have a near-term impact on the market price of the equity securities discussed in this report, which impact may be directionally counter to the analyst's published price target expectations for such stocks. Any such trading strategies are distinct from and do not affect the analyst's fundamental equity rating for such stocks, which rating reflects a stock's return potential relative to its coverage universe as described herein.

We and our affiliates, officers, directors, and employees will from time to time have long or short positions in, act as principal in, make a market or act as liquidity provider in, and buy or sell, any securities, derivatives, or other financial instruments referred to in this research (including any financial instruments issued by the companies referred to herein), unless otherwise prohibited by regulation or Goldman Sachs policy.

The views attributed to third party presenters at Goldman Sachs arranged conferences, including individuals from other parts of Goldman Sachs, do not necessarily reflect those of Global Investment Research and are not an official view of Goldman Sachs.

Any third party referenced herein, including any salespeople, traders and other professionals or members of their household, may have positions in the products mentioned that are inconsistent with the views expressed by analysts named in this report.

This research is not an offer to sell or the solicitation of an offer to buy any security in any jurisdiction where such an offer or solicitation would be illegal. It does not constitute a personal recommendation or take into account the particular investment objectives, financial situations, or needs of individual clients. Clients should consider whether any advice or recommendation in this research is suitable for their particular circumstances and, if appropriate, seek professional advice, including tax advice. The price and value of investments referred to in this research and the income from them may fluctuate. Past performance is not a guide to future performance, future returns are not guaranteed, and a loss of original capital may occur. Fluctuations in exchange rates could have adverse effects on the value or price of, or income derived from, certain investments.

Certain transactions, including those involving futures, options, and other derivatives, give rise to substantial risk and are not suitable for all investors. Investors should review current options and futures disclosure documents which are available from Goldman Sachs sales representatives or at <https://www.theocc.com/about/publications/character-risks.jsp> and [https://www.goldmansachs.com/disclosures/cftc\\_fcm\\_disclosures](https://www.goldmansachs.com/disclosures/cftc_fcm_disclosures). Transaction costs may be significant in option strategies calling for multiple purchase and sales of options such as spreads. Supporting documentation will be supplied upon request.

**Differing Levels of Service provided by Global Investment Research:** The level and types of services provided to you by Goldman Sachs Global Investment Research may vary as compared to that provided to internal and other external clients of GS, depending on various factors including your individual preferences as to the frequency and manner of receiving communication, your risk profile and investment focus and perspective (e.g., marketwide, sector specific, long term, short term), the size and scope of your overall client relationship with GS, and legal and regulatory constraints. As an example, certain clients may request to receive notifications when research on specific securities is published, and certain clients may request that specific data underlying analysts' fundamental analysis available on our internal client websites be delivered to them electronically through data feeds or otherwise. No change to an analyst's fundamental research views (e.g., ratings, price targets, or material changes to earnings estimates for equity securities), will be communicated to any client prior to inclusion of such information in a research report broadly disseminated through electronic publication to our internal client websites or through other means, as necessary, to all clients who are entitled to receive such reports.

All research reports are disseminated and available to all clients simultaneously through electronic publication to our internal client websites. Not all research content is redistributed to our clients or available to third-party aggregators, nor is Goldman Sachs responsible for the redistribution of our research by third party aggregators. For research, models or other data related to one or more securities, markets or asset classes (including related services) that may be available to you, please contact your GS representative or go to <https://research.gs.com>.

Disclosure information is also available at <https://www.gs.com/research/hedge.html> or from Research Compliance, 200 West Street, New York, NY 10282.

## © 2026 Goldman Sachs.

You are permitted to store, display, analyze, modify, reformat, and print the information made available to you via this service only for your own use. You may not resell or reverse engineer this information to calculate or develop any index for disclosure and/or marketing or create any other derivative works or commercial product(s), data or offering(s) without the express written consent of Goldman Sachs. You are not permitted to publish, transmit, or otherwise reproduce this information, in whole or in part, in any format to any third party without the express written consent of Goldman Sachs. This foregoing restriction includes, without limitation, using, extracting, downloading or retrieving this information, in whole or in part, to train or fine-tune a machine learning or artificial intelligence system, or to provide or reproduce this information, in whole or in part, as a prompt or input to any such system.